



THE FOURTH DOOR

The 20 Checks A Buyer Runs *On Your Business*

The twenty things examined before anybody makes you an offer. The six findings that end a deal outright. And the eighteen-month sequence that fixes them, in the order it has to be done.

28 PAGES

UK MARKET DATA

SOURCES PUBLISHED

MOST FOUNDERS MEET THIS LIST FOR THE FIRST TIME WHEN A BUYER'S
ACCOUNTANTS ARE ALREADY GOING THROUGH THE BOOKS. THAT IS YEARS TOO LATE.

Read it once. Then *score yourself*.

A buyer does not value your business. A buyer values the risk of owning it *without you in it*.

Two companies can post identical profit and be worth twice as much as each other, and the difference is never how hard anybody worked. It is whether the earnings survive the founder leaving the building. Every figure here is sourced, and where the market disagrees with itself we have said so.

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PART ONE

How you *get priced.*

Before anybody looks at your business, the market has already decided which of two systems will price it. Almost no founder knows which one he is in.

1.1 TWO MARKETS

1.2 THE WORDS THEY USE

1.3 THE LADDER

Two markets.

You are only in one.

Which market you sell in is decided years before you ever meet a buyer. *It is not decided by how big you are.*

The owner-managed market

One buyer at a time. An individual, or a manager buying in. Before applying any multiple he deducts what it costs to employ somebody to do your job.

2x to 4x

The institutional market

Trade acquirers and private equity. Your management already runs it and that cost is already in your accounts.

4x to 10x in most sectors. A handful go higher.

What decides which market you are in

Not turnover. Not profit. **Management depth.** A business making £1.6m of profit with a capable managing director sits in the institutional market. A business making £2.4m where the owner still runs operations sits in the owner-managed one. The larger, more profitable company is in the worse market, for one reason.

The adjustment that surprises everyone

Both markets apply their multiple to **adjusted EBITDA**: your profit restated with your own pay set at the going rate for somebody doing your job. Say you pay yourself £50,000, and employing somebody to do your job would cost £120,000. Your accounts are £70,000 light on that one wage, so £70,000 comes off before anybody multiplies anything.

Why software breaks the range

Software and subscription businesses regularly clear 10x and sometimes far more, and it is worth knowing why, because the reasons apply to any business. They are light on staff, so profit does not need more people to grow. Their income is contracted and arrives again next month whether anybody sells anything or not. And the cost of serving the hundredth customer is close to nothing, so margins rise as they get bigger. Very few businesses have all three. The closer yours gets to any one of them, the higher your own range moves.

Research this online and you will mostly find American material using SDE, seller's discretionary earnings, which adds the owner's entire pay back instead. It produces a bigger profit figure and a lower multiple. Never compare a US multiple with a UK one.

SECTION 1.2

The words *they will use.*

Every one of these will be said to you, at speed, by somebody who assumes you already know it. These are the UK words. Where an American adviser or website uses a different one, it is marked in orange. This page covers the money. The next covers the deal.

Multiple

The number your earnings get multiplied by to reach a price. 6x earnings of £500,000 is a price of £3,000,000.

Adjusted EBITDA

Profit restated with the owner's pay set at the market rate for the job, and one-off costs stripped out. The number the multiple is applied to.

US: SDE. Not the same thing. SDE adds the owner's whole pay back rather than normalising it, so the multiples never compare.

Add-backs

Costs you argue are personal or one-off, added back to profit. Each must be evidenced or it comes straight back out.

Enterprise value

The headline price for the business itself, before borrowings are settled.

Net debt

Borrowings minus cash. It comes off the price.

Working capital

Money tied up in day-to-day trading: debtors and stock, less creditors.

US: receivables and payables

Key-person dependency

The business relying on one individual, usually you. The trade's polite name for the problem.

Completion

The day the deal legally happens and the money moves.

US: closing

Retention

Money held back at completion in case a warranty proves wrong.

US: escrow, or holdback

A turn

One unit of the multiple. Going from 6x to 5x is losing a turn, and a turn is always worth exactly one year of your earnings.

EBITDA

Earnings before interest, tax, depreciation and amortisation. Profit before the cost of your borrowing, your tax bill, and the paper cost of assets wearing out. Say you make £600,000 before those items and pay £100,000 a year in loan interest: EBITDA is £600,000, not £500,000. The interest is stripped out because the buyer will not inherit your loan. He clears it out of the price instead.

Quality of earnings

A review by an independent accountant, paid for by the buyer, to test whether your profit is real. Shortened to QoE.

Equity value

What reaches your bank account: enterprise value less net debt, adjusted for working capital.

Cash-free, debt-free

The standard UK basis: you keep the cash, you clear the debt, the buyer takes the business.

The peg

Not an abbreviation. A peg is a fixed point, the way a currency is pegged. It is the normal level of working capital you agree to leave at completion. Leave less and the price drops by the difference.

Vendor

You. The standard UK word for the seller.

US: seller

SPA

Share purchase agreement. The contract that sells the company.

US: stock purchase agreement

SECTION 1.2, CONTINUED

And the words for the deal itself.

These appear once you are already in a process, which is exactly when nobody stops to explain them.

Deferred consideration

Money paid at fixed dates after completion, whether or not targets are involved.

Recurring revenue

Income that arrives again without being won again: contracts, retainers, subscriptions.

Customer concentration

How much of your turnover sits with your biggest customers. The most common reason deals die.

Warranties

Statements you sign to say the business is as described. If one proves untrue, the buyer can claim against you.

Earn-out

Part of the price paid later, only if the business hits agreed targets. You carry the risk and often no longer the control.

Vendor due diligence

Diligence you pay for on your own business before going to market, so you find the problems first and fix or disclose them on your terms rather than the buyer's.

Dilapidations

If you rent your premises, your lease almost certainly obliges you to hand the building back in its original condition. Twenty years of partitions, cabling and wear becomes a bill at the end. A buyer treats that future bill as a debt you already owe and takes it off the price.

Trade buyer

Another company in or near your industry. He is not buying an investment, he is buying something he cannot build quickly himself: your customers, your engineers, your licences, your coverage of a region. He can also strip out your back office, so the business is worth more to him than to a financial buyer. That is why trade buyers usually pay the higher price.

US: strategic buyer

MBI and MBO

Management buy-in, an outsider buys and runs it.
Management buy-out, your own team buys it.

Due diligence

The buyer's full inspection of the business after terms are agreed. Usually just called diligence.

Heads of terms

The outline deal, agreed before diligence starts. Not binding on price.

US: letter of intent, or LOI

Re-trade

When a buyer reduces an agreed price after finding something in diligence. The thing this document exists to prevent.

Disclosure letter

Where you list every exception to those warranties. What you disclose, you cannot later be sued over.

US: schedules of exceptions

Change of control

A clause that lets the other side walk away, or renegotiate, when your company changes owner. It turns up in customer contracts, supplier terms, software licences, finance agreements and property leases, and it exists precisely so they are not stuck with whoever buys you.

Assignable

A contract that moves to the new owner automatically. If your best customer's terms say the agreement cannot be transferred without their written consent, the buyer has to go and ask them, mid-deal, whether they mind being sold. Some say no. Some use it to renegotiate their rates. Either way you have handed them leverage at the worst possible moment.

Locked box

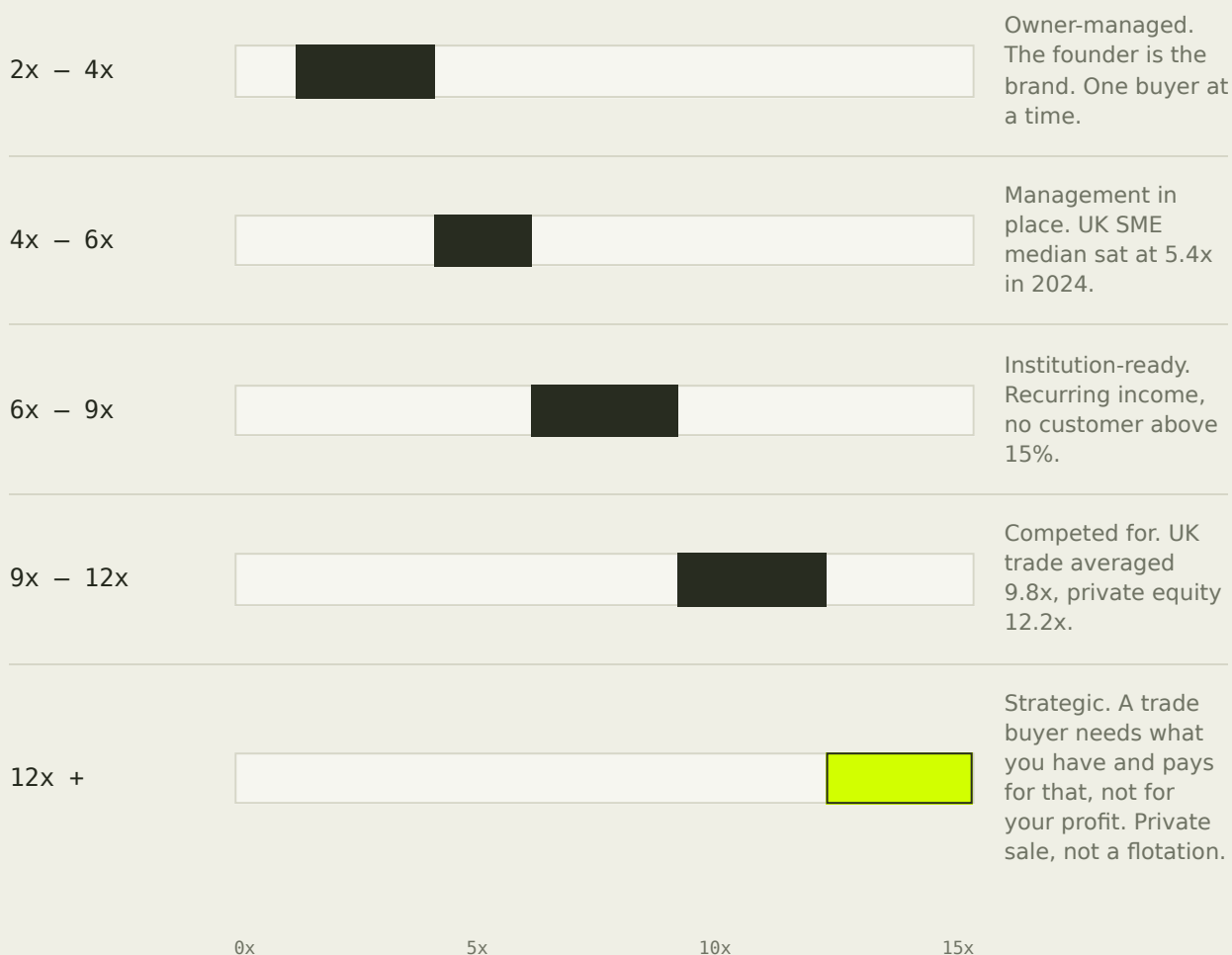
The price is fixed to a set of accounts from before completion, and from that date the business trades at the buyer's risk and for the buyer's benefit. Nothing is recalculated afterwards. The seller gets certainty and a clean break. The buyer gets a fixed price and no argument over closing figures, but takes the risk of anything that goes wrong in between, so he will only agree if he trusts your numbers.

US: rare. American deals use completion accounts, where the sums are redone after the event

SECTION 1.3

The ladder.

Every rung is earned by removing a specific risk. *Not one of them is earned by growing profit alone.*



What moves you up it

- **Management depth.** Buyers pay 20% to 40% more for a business that does not depend on its founder.
- **Recurring revenue.** Moving from a fifth of your income being contracted to half of it is typically worth half a turn or more on the multiple.
- **Growth.** Consistent growth above 20% a year adds 20% to 50% to the multiple.
- **Scale.** Crossing roughly £1m of adjusted EBITDA opens the private equity and larger corporate buyer pools.
- **Preparation.** Twelve to eighteen months of documenting processes and elevating a second-in-command is worth 0.5x to 1.0x.



PART TWO

The twenty *checks.*

Four groups, in the order a buyer runs them. Each check carries a reference. They are cited by that reference for the rest of this document.

- E1 – E5 THE EARNINGS
- C1 – C5 THE CUSTOMERS
- F1 – F5 THE FOUNDER
- P1 – P5 THE PAPERWORK

The earnings.

A quality of earnings review exists to establish that your profit is real. *Assume it is hostile*, because the person buying from you is paying for it.

An independent accountant restates two to three years of trading on a consistent basis. Every adjustment lands on the price, multiplied by the multiple, which is why small findings are never small.

REF	THE CHECK	WHAT A BUYER DOES WITH IT
E1	Monthly accounts, closed inside two weeks	Two to three years get restated on a consistent basis. Numbers that arrive six weeks late stall the review, and every week of delay costs momentum.
E2	Management and statutory accounts reconcile	You run the business off monthly management accounts. Your accountant files a separate set at Companies House once a year. If the two tell different stories about the same year, a buyer cannot tell which is true, and every other figure you have given him is doubted from that point on.
E3	No personal spending through the business	Every add-back you claim must be evidenced. Unsupported ones come straight back out, and each lands on the price multiplied by the multiple.
E4	An adjusted EBITDA you could defend line by line	Revenue recognition, work in progress and debt-like items all move this figure. Debtors and creditors are examined month by month across twelve to twenty-four months to set the peg.
E5	Your own pay at market rate	Restated to what it costs to replace you. Most founders take a modest salary and dividends, which is efficient while you own it and costs you on the day you sell.

The headline is enterprise value. What you receive is equity value, after net debt and a working capital adjustment. UK deals are typically cash-free and debt-free, so £5m agreed with £1m of borrowings delivers £4m to shareholders.

CHECK E5, WORKED THROUGH

What one wage does to the price.

Your accounts already have your salary taken off. Pay yourself less than the job is worth and your profit is flattered by the difference. A buyer removes that before anything else, because he has to pay a real wage to whoever replaces you.

Profit shown in your accounts	£500,000
You pay yourself	£50,000
What it costs to employ somebody to do your job	£120,000
So the accounts are £70,000 light on that one wage	-£70,000
Adjusted EBITDA. The number a buyer multiplies.	£430,000

Using the accounts figure

$$£500,000 \times 3 = £1,500,000$$

Using the real figure

$$£430,000 \times 3 = £1,290,000$$

On a 6x deal, a £50,000 adjustment removes £300,000 from the price. One turn off the multiple, on a business earning £500,000, removes £500,000. *Both were fixable eighteen months earlier.*

The founders who do best pay an accountant to run this exact analysis on their own business first, so every adjustment is already known, evidenced and argued. You cannot be ambushed by a finding you produced yourself.

The quality of *earnings review.*

The single piece of work that decides whether your profit figure survives.

QUESTION

ANSWER

Who pays?

The buyer, almost always, because it protects him and because his lender usually insists on one before releasing funds. You can also pay for your own before going to market. That is called vendor due diligence, and it is standard practice in the United States and still uncommon among UK owner-managed businesses.

What does it cost?

Broadly £8,000 to £20,000 on a business earning under £1m, and £15,000 to £40,000 between £1m and £3m. A seller-commissioned review costs more because it is more thorough. Those who pay for one typically recover several times the cost in price they do not lose.

How long?

Two to six weeks from the day they have your figures. The variable is you: organised books finish at the short end, and every document you have to go hunting for adds days and makes the buyer wonder what else is disorganised.

What do they check?

Monthly profit and loss across twenty-four to thirty-six months. How and when you recognise revenue. Every add-back you have claimed. Your normalised owner pay. Working capital month by month, to set the peg. Customer concentration. And whether the earnings are repeatable or flattered by something that happened once.

Is it an audit?

No. An audit asks whether your accounts comply with the rules. This asks a different question: is this profit real, and will it still be there next year without you.

The asymmetry worth understanding

The buyer's reviewer is paid by the buyer and is specifically looking for reasons the number should be lower. If you have no independent analysis of your own, you are arguing about your business from memory against somebody holding a report. Most sellers only realise this once the report lands.

E1

E4

The customers.

Customer concentration is *the most common deal-killing finding* in lower mid-market transactions.

Most buyers borrow to buy. If your biggest customer leaves six months after completion, the buyer still has to make the loan repayments out of a business that has just lost a chunk of its income. That is the whole worry, and it is not about how good that customer is. It is about what happens to the relationship when the person who holds it, you, is no longer in the building.

0 – 15%	15 – 25%	25 – 30%	30% +
Comfortable The target range for a business heading towards an institutional buyer.	A structure issue Expect it to shape the terms rather than break them.	Priced in Now a live negotiation on how much of the money is deferred.	Re-price or walk 15% to 30% off, or 20% to 40% into an earn-out tied to that customer, or no deal.

What it looks like in practice

- A recruitment firm turning over £4m where one insurer accounts for £1.6m of it, and the relationship is with the founder
- A manufacturer where two supermarkets are 55% of output and either could re-tender next year
- An agency with thirty clients, no single one above 8%, and half on twelve-month retainers. This one is fine
- A haulage firm where one contract is 22% of turnover but runs for four more years and transfers with the company

The three questions underneath the percentage

- C2 Contracted or personal?** A signed multi-year agreement is an asset. A twenty-year friendship is a risk, and it is your friendship, not the company's.
- C3 What happens on change of control?** If contracts covering more than a fifth of turnover let the customer leave when the business changes hands, the buyer is not buying that revenue.
- C4 Recurring or repeatedly won?** Contracted income is priced differently to project work, and in a service business it is one of the largest single drivers of the multiple.

The same test applies to suppliers. Buyers look for no single supplier above roughly a quarter of spend, and they read your top twenty-five vendor contracts to check it.

The founder.

This is the check that decides which market you are in, and *you will never be shown the working.*

Operational diligence answers one question: can this business perform without the current owner? The buyer reads the organisation chart, the employment contracts and the documented processes for anything that makes money. Then he meets your management team and forms a private view about whether they are decision-makers or messengers.

Buyers pay **20% to 40% more** for businesses that do not depend on the founder.

Two identical companies. Same turnover, same profit, same sector. One is priced as **an asset that keeps earning without its owner.** The other is priced as **a role somebody now has to fill**, and the terms follow: a lower multiple, a longer tie-in, and more of the money conditional on you still being there to earn it.

What the buyer is looking for

- F1 A second-in-command who runs the business day to day, and is known by the team to be doing it
- F3 Documented processes for the functions that generate revenue, not a folder of policies nobody opens
- F2 Pricing, hiring and spending decisions made below you, at agreed thresholds
- F4 Evidence you can be absent without performance moving
- F5 A plan for the next stage that exists somewhere other than your head

The finding, and its consequence

If operational diligence concludes the owner is the business, the buyer typically restructures with a twenty-four to thirty-six month employment agreement plus an earn-out, or walks away. Owner dependency is the second most common cause of a deal being re-priced after terms are agreed.

The paperwork.

Nothing here wins you a pound. All of it can cost you the deal, and *it is the cheapest category to fix*.

Expect separate diligence workstreams across financial, tax, legal, commercial, operational, technology, people and regulatory. The findings that hurt most here are rarely serious problems. They are ordinary problems discovered late, by the wrong person, at the worst moment.

REF	AREA	WHAT IS CHECKED
P1	Corporate	Share register, option promises, convertible instruments, anyone with a possible claim to equity
P2	Intellectual property	Ownership of anything built by contractors, software licensed personally, unregistered brands
P3	People	Written contracts for all staff, contractor status, restrictive covenants, key-person retention
P4	Disputes	Litigation, claims, regulatory matters, anything a search would find that you did not mention
P5	Property and contracts	Leases, assignability, landlord consents, dilapidations, change-of-control clauses

What these twenty checks do not cover

Compliance workstreams run alongside all of this and vary by sector: tax and VAT, pensions and auto-enrolment, insurance, data protection, health and safety, and environmental. They rarely change a price on their own. They routinely delay a completion, and a delay is a re-price waiting to happen. Your accountant and solicitor will handle them. The twenty here are the ones only you can fix.

The principle that governs all of it

Proactive disclosure is priced better than diligence discovery. A problem you raise is a negotiation. The identical problem, found by the buyer's advisers, is a warning about everything else you have not mentioned.



PART THREE

What it *costs you.*

Roughly **one in three** signed heads of terms in the lower mid-market never reaches completion, and more than 60% of those failures trace back to something the buyer found after terms were agreed. Terms being agreed is not the same as being sold.

3.1 THE SIX FINDINGS

3.2 THE GAP

3.3 THE SEQUENCE

SECTION 3.1

The six findings *that end deals.*

01	Ownership of the company is not clean Old option promises, an inherited interest, a handshake with a former partner. A buyer cannot purchase what you cannot prove you own.	USUALLY FATAL REF P1
02	Undisclosed litigation or regulatory exposure The issue is almost never the dispute. It is that the buyer found it rather than being told, and now doubts everything else.	USUALLY FATAL REF P4
03	The earnings do not survive review Material misstatement in the quality of earnings work ends processes outright. It stops being a number problem and becomes a trust problem.	USUALLY FATAL REF E1-E5
04	Concentration the buyer cannot get comfortable with Above 30% in one account, no contract, a personal relationship behind it. The most common single reason a lower mid-market deal dies.	FATAL OR REPRICED HARD REF C1
05	The owner is the business A twenty-four to thirty-six month tie-in with an earn-out, or the buyer walks. Either way you have lost control of your own exit.	RESTRUCTURED OR ABANDONED REF F1-F5
06	A key employee resigns mid-process Diligence does not stay confidential for long. Retention is arranged before a process begins, not after somebody hands in notice.	FATAL AT THE WORST MOMENT REF P3

One business. *Three prices.*

A business making **£750,000** of adjusted EBITDA. Same customers, same turnover, same year, in all three columns. Both multiples are the middle of their published range, not the favourable end.



The profit never moved. *Only the risk did.*

Illustrative, and built to be argued with. The left column uses 3x against a published owner-managed range of 2x to 4x; the middle uses 7x against a range of 6x to 9x. Pick the bottom of one and the top of the other and the gap is wider still, which is why we have not. Multiples vary by sector, size, growth and buyer type, and every range used sits inside the data listed at the back.

SECTION 3.3

The eighteen-month sequence.

In order, because the order matters. Doing these in the wrong sequence is the most common way a founder wastes a year.

● Months 1–6

Establish the facts

Monthly reporting closed inside two weeks. Management accounts that reconcile to statutory. Personal spending out of the business. A normalised earnings figure you could defend line by line. Ownership, contracts and intellectual property tidied, because all of that is cheap now and expensive later. You cannot fix what you cannot yet measure.

● Months 6–18

Remove the two dependencies

On you, and on your largest customers. A second-in-command appointed and visibly running the business. Decision thresholds set below you. Relationships transferred into the company and into a system. New revenue brought in to dilute concentration, because concentration falls by adding, never by refusing. This is the part that changes which market you are in, and it cannot be accelerated.

● Month 18 on

Build the evidence

Two clean years behind the new structure. A management team with a track record rather than an announcement. A business that has demonstrably survived a bad quarter without you rescuing it. Then, and only then, you pay for your own quality of earnings review, so you walk into the process holding the analysis instead of being handed it.

WHAT PREPARATION ALONE IS WORTH

£375,000
to £750,000.

What eighteen months of this work is worth on a business earning £750,000.

Sellers who document their processes and put a genuine second-in-command in place before going to market typically add **0.5x to 1.0x** to their multiple. No capital spent. No acquisition made. No increase in profit required.

And that is the smallest prize here

It is the reward for preparation alone. Moving between the two markets, which is what the whole eighteen months is actually for, was worth £3m on the same business.

The founders who get the best outcomes are not the ones who negotiated hardest. They are the ones who started early enough that they never had to.

LEE LIASI AND PETE TAYLOR
THE FOURTH DOOR



PART FOUR

Score *yourself.*

Tick only what is true today, and true in evidence rather than in intention. Nobody sees this but you, which makes it the only honest version you will ever complete.

E1 – E5 THE EARNINGS C1 – C5 THE CUSTOMERS F1 – F5 THE FOUNDER

P1 – P5 THE PAPERWORK

SECTION 4.1

The earnings, and the customers.

The earnings E1 – E5

- E1 ☐ Monthly management accounts, closed within two weeks
-
- E2 ☐ Management and statutory accounts reconcile
-
- E3 ☐ No personal spending running through the business
-
- E4 ☐ An adjusted EBITDA figure I could defend line by line
-
- E5 ☐ My own pay is at, or already restated to, market rate

The customers C1 – C5

- C1 ☐ No single customer above 15% of turnover
-
- C2 ☐ Major relationships under written contract
-
- C3 ☐ No change-of-control clause on material contracts
-
- C4 ☐ More than half of turnover recurring or contracted
-
- C5 ☐ Relationships held in a system, not in my head

Why these ten come first

They decide whether a buyer believes your numbers, and whether he believes they will still be there next year. They are also the two groups an accountant can verify without ever meeting your team, which is why they are examined before anybody visits.

E

C

F

P

The founder, *and the paperwork.*

The founder F1 – F5

- F1 ☐ A named second-in-command who runs the day to day
- F2 ☐ Pricing and hiring decided below me, at set thresholds
- F3 ☐ Documented processes for how revenue is won and delivered
- F4 ☐ I have taken two consecutive weeks off in the last year
- F5 ☐ The plan for the next stage is written down and shared

The paperwork P1 – P5

- P1 ☐ Share ownership clean, with no competing claim
- P2 ☐ All intellectual property assigned to the company
- P3 ☐ Written contracts for every employee and long-term contractor
- P4 ☐ No undisclosed disputes, claims or regulatory issues
- P5 ☐ Leases and key agreements assignable to a buyer

Why the founder group counts double

The five under **The founder** are worth more than the other fifteen combined. They are the only ones that change which market you sell in, and therefore the only ones that move the multiple rather than protect it.

What your *number means.*

16 – 20	You are close. Pay for your own quality of earnings review, and start choosing buyers rather than waiting to be chosen.
11 – 15	A good business that will be priced as a risky one. Closing the gap is worth more than a year of profit growth.
6 – 10	Saleable, but on somebody else's terms and in the wrong market. Two years of deliberate work would change the outcome materially.
0 – 5	Right now the business is you. That is how most good companies start, and it is the reason yours got this far. It is also the single biggest thing standing between today's number and a much larger one. Nothing here is a criticism, and all of it is fixable.

Whatever the number, the order of work does not change: the founder group first, because it moves you between markets, then the customers, then the earnings, then the paperwork, which is quick and cheap and can be done alongside everything else.

Turn this into a number

The calculator at thefourthdoor.co.uk/#worth takes this score, your sector and your adjusted EBITDA and returns a range rather than a band, along with what the same business would be worth at twenty out of twenty. It asks for nothing.

THE POINT OF ALL THIS

You are not being judged. *You are being priced.*

Every founder-led company is founder-dependent, because that dependency is what made it work in the early years. You were supposed to be the best salesperson, the final decision and the reason customers stayed. That is how it survived.

It is also what caps its value. The instinct that built the business is the instinct that now limits it, and no amount of additional effort resolves that, because effort is the mechanism of the problem.

The work is to make yourself progressively less necessary, deliberately, over years, while the business gets bigger rather than smaller as you step back. It is slow, it is uncomfortable, and it is the only thing that moves you from one market into the other.

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Who wrote this, *and why.*



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BUILD



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LEADS THE CEO BUILD

Forty years between us, on both sides of the table.

We have built businesses, bought them and merged them into one. We have hired the leaders, built the teams, and coached the founders running them. Everything here is written from the buying side, because that is the side we have spent most of our careers on.

The Fourth Door is a scale partnership. We build the business and the founder at the same time, because neither one gets there without the other, and we keep building until institutional buyers come asking.

Every business is different, so every deal is different. What we agree depends on where you are, what still has to be built and how long that is going to take. What follows is the shape a typical deal takes, not a fixed offer.

Our stake

10% to 15% initially, vesting over time, rising to a maximum of 25% against agreed milestones. You stay the majority owner and the chief executive.

How we are paid

In equity rather than fees. Our payday only arrives if yours does.

Capacity

A handful of businesses at a time, usually around five. Hands-on work, and there are only so many hours in it.

How long

Years, and we say so on day one. Nothing in this document is fixable in ninety days.

Where to start

Take the Month Test at thefourthdoor.co.uk/#test. Four questions, no email, an honest answer at the end.

To talk to us properly, apply at thefourthdoor.co.uk/#apply. We read every one and answer every one. We also decline most, so be straight with us and we will be straight with you.

Sources.

A note on them. Several are American, and American advisers price small owner-managed businesses on a metric called SDE, which adds the owner's whole salary back. UK practice normalises the owner's pay to a market rate and works from adjusted EBITDA. Where a US source is cited, the figure has been restated onto the UK basis rather than quoted across. UK sources are quoted as published.

- Owner-managed and institutional multiple ranges, the management-depth trigger between them, and buyer-pool expansion across the size band: CT Acquisitions, 2026
- Owner-dependent service businesses at the bottom of the band, systematised businesses above it, and premium operators with management depth higher again: CT Acquisitions, 2026
- Average small-business multiples and the worked comparison of the two measures: Viking Mergers and Acquisitions, 2026, citing the BizBuySell Insight Report, Q4 2025
- Buyers paying 20% to 40% more for businesses that do not depend on the founder, growth premiums of 20% to 50%, and the effect of recurring revenue: Northstar Financial Advisory, 2026
- UK SME median EBITDA multiple of 5.4x in 2024, and UK and European mid-market at 8x to 10x: Consortia Advisory, 2026
- UK trade buyers at an average of 9.8x and private equity at 12.2x historic EBITDA: BDO Private Company Price Index, Q3 2024
- The £1m EBITDA inflexion point for private equity and larger corporate buyers: Your Company Formations, UK business valuation guide

SECTION 4.2, CONTINUED

Sources, *continued.*

- Customer concentration thresholds and buyer responses, owner dependency as the second most common re-trade trigger, and the 0.5x to 1.0x preparation uplift: CT Acquisitions, 2026
- Roughly one in three signed heads of terms failing to complete, and more than 60% of failures tracing to a post-agreement finding: CT Acquisitions, 2026, drawing on the Axial Dead Deal Report, 2025. Directional rather than audited, since no public register of private transactions exists
- Quality of earnings cost, duration, scope and who commissions it: CT Acquisitions, Bedrock and Rejigg, 2026; UK market practice from Alto Accounting, 2026
- Working capital analysed across twelve to twenty-four months to set the peg: Acquisition Stars, 2026
- Proactive disclosure being priced better than diligence discovery: Blackland Advisors, 2026
- Sector bands and the primacy of deal size over industry: Move at Pace, Consortia Advisory and QuantPillar, 2026

Important

This document is general educational information about how private businesses are valued and examined in a sale process. It is not financial, legal, tax or investment advice, it is not a valuation of your business, and it must not be relied on as any of those things. Multiples vary considerably by sector, size, geography, growth and buyer type, and every business is different. Before acting on anything in this document, take advice from a qualified professional who has seen your numbers. The Fourth Door accepts no liability for decisions taken on the basis of this document.

TEAR THIS ONE OUT

The twenty checks, on one page.

THE EARNINGS E

- ☐ E1 Monthly accounts closed inside two weeks
- ☐ E2 Management and statutory accounts reconcile
- ☐ E3 No personal spending through the business
- ☐ E4 An adjusted EBITDA you could defend line by line
- ☐ E5 Your own pay at market rate

THE CUSTOMERS C

- ☐ C1 No single customer above 15% of turnover
- ☐ C2 Major relationships under written contract
- ☐ C3 No change-of-control clause on material contracts
- ☐ C4 Over half of turnover recurring or contracted
- ☐ C5 Relationships held in a system, not in your head

THE FOUNDER F • WORTH DOUBLE

- ☐ F1 A named second-in-command running the day to day
- ☐ F2 Pricing and hiring decided below you
- ☐ F3 Documented processes for how revenue is won
- ☐ F4 Two consecutive weeks off in the last year
- ☐ F5 The next-stage plan written down and shared

THE PAPERWORK P

- ☐ P1 Share ownership clean, no competing claim
- ☐ P2 All intellectual property assigned to the company
- ☐ P3 Written contracts for every employee and contractor
- ☐ P4 No undisclosed disputes, claims or regulatory issues
- ☐ P5 Leases and key agreements assignable

YOUR SCORE

/ 20

16–20 Close. Commission your own review and start choosing buyers.

6–10 Saleable, on somebody else's terms, in the wrong market.

11–15 A good business that will be priced as a risky one.

0–5 A job with staff. Fixable, and the most valuable work available to you.

Work the founder group first. It is the only one that moves you between markets. Then the customers, then the earnings, then the paperwork, which is quick and cheap and can run alongside everything else.



Turn your score into a number

Your sector, your adjusted EBITDA and this score, returned as a range, alongside what the same business would be worth at twenty out of twenty. It asks for nothing.

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